



# JOHNSTONE SUPPLY

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## 2020 Compensation Package Supplement Confidential Bonus Program for George Shields

As part of your total compensation package Johnstone wants to make the following bonus opportunities available to you. Earning them will be tied to your ability to successfully complete and verify through proper reporting each of the assigned opportunities detailed below. Each opportunity is attainable and we will work with you to help you achieve them.

### Bonus Summary (maximum bonus potential)

|                                                                                                          |                         |
|----------------------------------------------------------------------------------------------------------|-------------------------|
| 1) Reduce Company-wide Inventory Levels by YE                                                            | <b>\$4,500</b>          |
| KPI → ↑ LPI <i>OK/OK</i>                                                                                 |                         |
| 2) <del>Showroom</del> Bin Location Implementation/Management                                            | <b>750</b>              |
| 3) Grow <u>non</u> -Focus Group eCommerce Sales                                                          | <b>750</b>              |
| 4) Set up Customers with PartStock® or DirectConnect®                                                    | <b>250</b>              |
|                                                                                                          | <b>per customer</b>     |
| 5) Sixteen (16) hours of JU Online self-training                                                         | <b>400</b>              |
| 6) Minimum of Six (6) Counter Day Lunch N' Learns                                                        | <b>50</b>               |
|                                                                                                          | <b><u>per event</u></b> |
| <i>email list</i><br><i>flyer copy</i><br><i>60 day Adv. of info. call</i><br><i>Recap</i>               |                         |
| <i>Vendor Trans</i><br><i>Featured Product(s)</i><br><i>Do you have products to vendor from products</i> |                         |
| <b>Total Bonus Dollars Available</b>                                                                     | <b>\$6,700*</b>         |

\* Bonus opportunities #4 & #6 could result in earnings greater than \$6,700.

*Work w/ Ann & Stephen to create onboarding pgm for Counter Sales (3rding border) - shd include*

*JU outline  
DOI training  
computer skills*

*Hands on view & cc  
0 products - S/S (per) - purchasing  
- Qty - stock drawer  
- Receiving - KPIs  
- Shipping - Benchmark  
PWS*

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## Bonus Details

- 1) Dead stock and overstock tie up cash and wastes valuable showroom/warehouse space. It can also require excess handling just to keep moving it out of the way. As defined by DDI's Inform system, X-ranked items are SKUs that have had no sales or hits in the last twelve months. Inventory rankings are automatically re-calculated by the software at the end of each month. The reasons for dead stock's existence are many. It is even possible that some X-ranked items may be "necessary" if their presence has a halo affect enhancing the sales of other items. Overstock also can occur for many reasons and doesn't apply only to slow moving inventory.

It will be important for you to help balance inventory across our branches recognizing that slow moving or dead stock items in one warehouse may be fast moving items in another. As of December 31<sup>st</sup>, 2019, companywide TTM dead stock totaled \$xxx or xx% of TTM inventory! Inventory turns (excluding Dropship Sales) were x.xx (x.xx for Syracuse) and trending downward!

| YE TTM<br>Inventory<br>Turns | Bonus<br>Opportunity |
|------------------------------|----------------------|
| 4.30                         | \$500                |
| 4.40                         | \$1,000              |
| 4.50                         | \$1,500              |
| 4.55                         | \$2,000              |
| 4.60                         | \$2,600              |
| 4.65                         | \$3,200              |
| 4.70                         | \$3,800              |
| 4.75                         | \$4,500              |

Efforts to increase sales and/or aggressively reduce and rebalance inventory between branches will go along way to achieving this goal. Be mindful of the potentially high cost of vendor restocking and freight and look to structure arrangements that can keep both to a minimum. Selling off excess or dead stock on eBay is permissible but cannot be marketed as a Johnstone sale.

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You may find it helpful to review the "9 Lives of Dead Inventory" guide published by the Co-op's Support Services team, a copy of which can be reviewed under the tab labeled Reference > Policies on our intranet *Global Dominator*. Also, MITS is an excellent analytic tool to help you to identify specific opportunities for inventory reduction. **Note: dropship sales will NOT be included in the calculation of inventory turns for bonus purposes.**

**Maximum Bonus Opportunity: \$4,500**

- 2) An effective warehouse management system (WMS) enhances inventory management by decreasing inventory levels, improving order fulfillment, and reducing order cycle time. It also serves to improve customer service by making sure products ordered are in stock and picked correctly. Ultimately, it enhances productivity by improving efficiency, consistency, and quality control improving every stage of the fulfillment process. We are a long way from implementing a full-blown WMS but there is a critical first step we need to take. To receive credit for this opportunity you will need to achieve the following:
- a) Jointly with your branch counterpart, create a written document detailing proper bin location nomenclature that works across any branch, can be used wherever inventory resides in our facilities, and takes advantage of the Bin Location Sort Sequence features of Inform. Doing so should allow us to create ARW/MITS reports to assess profitability by location area within your showroom so as to improve showroom effectiveness. **[\$100]**
  - b) Use this nomenclature to develop a physical map of your showroom. **[\$50]**
  - c) All product in your showroom is fully documented with location information including secondary overstock locations which may reside elsewhere in your facility. **[\$500]**
  - d) Jointly with your branch counterpart, create a written procedure that ensures when a product is added/removed from the

showroom that its associated bin location is add/deleted/updated accordingly. **[\$100]**

**Maximum Bonus Opportunity: \$750**

- 3) eCommerce is the future and it is crucial that it become an important part of our business moving forward. eCommerce and specifically web-based sales are becoming an increasingly important way for our customers to conduct business and are equally vital to our company's long-term profitability by lowering our overall cost to serve. To receive credit, you will need to grow house account group e-commerce profits. You will be paid 10% of e-commerce Gross Profit growth over 2019 baseline Gross Profit. Allowance will be made for any e-commerce growth that may have existed prior to the transferal of any account out of the house account group.

**Maximum Bonus Opportunity: \$750**

- 4) In addition to Internet and Mobile Web ordering we have several tools unique to Johnstone that are designed to lock in and build our SOW with customers: PartStock® and DirectConnect®. A careful review of customer technical potential and the customization of customer pricing, including the use of pricing programs could help you to achieve this goal. Should you identify customers interested in the use of any other eCommerce technology/service we offer, you should bring them to the attention of the Sales Manager as soon as possible.

Success in this effort will require that you understand and explain the benefits of our eCommerce solutions and be able to demonstrate their ease of use to your customers. These tools clearly distinguish us from most of our competitors. Furthermore, success here will improve order-processing productivity at the branch.

The exercise will require you to:

**PRODUCT ▲ KNOWLEDGE ▲ SERVICE**

- a) Work with the Sales Manager who can provide you with a features and benefits checklist for the eCommerce tools used in order to assist you with qualifying and vetting prospective customers.
- b) Verify that appropriate price programs have been assigned to the customer.
- c) Where appropriate, work closely with TMs to create a smooth customer handoff so as to ensure each customer's online experience is positive.

You will receive \$50 for each customer signed up and set up for "go live" with the PartStock® or DirectConnect® programs. You will receive an additional \$200 of active use of either program. The definition of "active use" is a customer who uses these programs to place a minimum of five (5) transactions (number of orders) totaling \$1,500 or more within the first 90 days after "go-live".

**Maximum Bonus Opportunity: \$250/customer**

- 5) Johnstone produces many JU online training courses including monthly flyer quizzes. These courses once completed are a proven vehicle for boosting sales. In order to qualify for credit you must complete all HVACR courses timely and with an average 80% score or completion certificate if no quiz is provided. You must also complete a total of four (4) hours of training each quarter for a total of 16 hours for the year. All courses are listed with time commitments. Note: If you do not meet your quarterly training commitment you will lose the bonus opportunity for that quarter. **(Maximum \$100/quarter for four (4) hours of course work)**

**Maximum Bonus Opportunity: \$400**

- 6) Provide a minimum of six (6) counter-day training events at your branch. You must complete and distribute a recap summary to the management team so as to provide an opportunity to learn about your events and to offer suggestions for improved attendance, education

and/or sales. The recap summary is not a formal document but one you should create and update to your preference. To be successful, you must plan to distribute flyer or email-based notification to customers that are at least 2-3 weeks in advance of each event.

**Maximum Bonus Opportunity: \$50/per event**

All six (6) goals must be completed entirely to maximize your full potential bonus. These activities reflect the company's dedication and investment in you to continuously look for ways to improve knowledge and capability. Growth by our employees grows our business and makes us all more profitable!

**Before you sign off on this plan, please carefully review your entire compensation plan for 2020 and understand that all bonus payouts require you to be in the employ of Johnstone Supply during the entire period being measured. For example, if your bonus compensation is annual, then you must be in the employ of Johnstone Supply as of 12/31 of the year for which the bonus applies.**

Plan Accepted by \_\_\_\_\_ Date \_\_\_\_\_

Supervisor \_\_\_\_\_ Date \_\_\_\_\_